

Global Connections, Local Impacts: The Enduring Effects of International Syndication Experience on Venture Capital Investments

Entrepreneurship Theory and Practice

2025, Vol. 49(6) 1710–1740

© The Author(s) 2025

Article reuse guidelines:

sagepub.com/journals-permissions

DOI: 10.1177/10422587251362900

journals.sagepub.com/home/etp



Suting Hong¹ , Massimiliano Guerini² , and
Haemin Dennis Park³ 

Abstract

We investigate how a domestic venture capital (VC) firm's syndication experience with reputable foreign VC firms improves its likelihood of achieving successful exits for entrepreneurial firms that it subsequently funds. We identify two complementary theoretical mechanisms: (a) domestic VC firms can gain certification from reputable foreign VC firms that improves access to superior investment opportunities and (b) they can learn from reputable foreign VC firms to better select and nurture ventures. Furthermore, the positive impact of syndication experience is particularly pronounced in facilitating exits for portfolio companies in foreign countries. Our findings highlight the enduring benefits that domestic VC firms gain from partnerships with reputable foreign VC firms.

Keywords

venture capital, international syndication, reputation, foreign exit

Introduction

The venture capital (VC) industry has experienced a substantial increase in the number of international deals in recent years (Bradley et al., 2019; Balachandran & Hernandez, 2021; Liu & Maula, 2021). Both entrepreneurs and VC firms can benefit from the internationalization of VC activities (c.f., Devigne et al., 2018). Foreign VC firms, especially when collaborating with domestic VC firms in syndicated deals, positively impact entrepreneurial

¹School of Intelligent Finance and Business, Xi'an Jiaotong-Liverpool University, Taicang, Suzhou, China

²Department of Management, Economics, and Industrial Engineering, Politecnico di Milano, Milan, Milano, Italy

³Naveen Jindal School of Management, University of Texas at Dallas, Richardson, TX, USA

Corresponding Author:

Suting Hong, School of Intelligent Finance and Business, Xi'an Jiaotong-Liverpool University, Building E, 111 Taicang Avenue, Taicang, Suzhou 215400, China.

Email: sutinghong@gmail.com

firm growth (Hellmann et al., 2019), successful exit (Chemmanur et al., 2016), and exit value (Chahine et al., 2019; Dai et al., 2012). However, foreign VC firms also play an active role in venture relocation (Cumming et al., 2009; Shi et al., 2024; Weik et al., 2024) and provide international exit opportunities (Bertoni & Groh, 2014; Jääskeläinen & Maula, 2014), raising concerns in domestic markets about the possibility of brain drains and loss of entrepreneurial talent (Hellmann & Thiele, 2023). As these trends continue, policymakers are increasingly concerned about the negative implications of promoting cross-border investments for the development of local VC industry and entrepreneurial ecosystems (Bradley et al., 2019).

Despite the increasing interest in VC internationalization, research has largely overlooked the enduring effects of VC internationalization on domestic VC investment activity. Indeed, extant research has mostly focused on how prior international VC investments shape subsequent international expansion of VC firms (e.g., Guler & Guillén, 2010; Li et al., 2014). The scant literature examining the performance consequences of international syndication experience paints an incomplete picture. In the Asian context, Khurshed et al. (2020) showed that international syndication experience with foreign VC firms with origins from established VC markets improves a domestic VC firm's subsequent investment performance, suggesting that such improvement can be achieved by learning from foreign syndication partners. However, several aspects still require thorough examinations. First, although domestic VC firms can presumably learn from foreign VC firms, it remains unclear whether this learning is specifically from *foreign* VC firms or from *more reputable* foreign VC firms with proven track record. Second, beyond the learning effect, another plausible mechanism that could improve the subsequent performance of domestic VC firms is the certification effect, where syndication with reputable foreign VC firms grants access to better investment targets or syndicate partners. Third, syndication experience with foreign VC firms may enhance subsequent investment performance in general, yet it is not clear whether this improvement applies uniformly across all types of exit outcomes or is specific to certain types. In sum, a more fine-grained examination of the mechanisms for how syndication experience with foreign VC firms influences subsequent investment outcomes of domestic VC firms could provide valuable insights.

We examine how international syndication experience of domestic VC firms affects their subsequent investment outcomes in their local market. We first propose that domestic VC firms can enhance their subsequent investment outcomes by gaining more syndication experience with highly reputable foreign VC firms. In general, VC firms attain their reputation by establishing a proven track record of facilitating successful exits, such as initial public offerings (IPOs) or mergers & acquisitions (M&As) for their portfolio companies (Hsu, 2004; Megginson & Weiss, 1991; Nahata, 2008). We suggest that the reputation of foreign syndication partners is a critical factor that enables domestic VC firms to enhance their investment performance in local markets through two theoretical mechanisms. On the one hand, domestic VC firms can enjoy certification benefits by co-investing with reputable foreign VC firms. Such a certification could help domestic firms access new investment opportunities with high-quality ventures and co-investors for future investments (Zhang & Guler, 2020). On the other hand, domestic VC firms can learn from their foreign VC co-investors by observing more advanced investment practices in conducting due diligence, nurturing activities, and preparing successful exits of their portfolio companies.¹ As a result of these two mechanisms, domestic VC firms can enhance the exit outcomes of their portfolio companies following co-investment experience with reputable foreign VC firms. Furthermore, by accumulating syndication experience with reputable foreign VC

firms, domestic VC firms can acquire international connections that provide alternative international exit routes, thereby enhancing their likelihood of achieving a successful exit in a foreign market rather than a domestic one. Our analyses, based on a dataset of VC investments in Europe, support these findings.

This study contributes to the growing literature on the internationalization of VC investments (e.g., Devigne et al., 2018) by showing that the beneficial effects of international syndication experience materialize only under specific conditions, namely, when the foreign VC syndication partners are highly reputable. Second, in addition to organizational learning (Khurshed et al., 2020), we suggest an additional mechanism that can contribute to the beneficial effects of international syndicate experience for domestic VC firms: quality certification. By partnering with reputable foreign VC firms, domestic VC firms can gain credibility that enables them to pair up with higher-quality ventures and co-invest with higher-quality VC firms for subsequent investment opportunities. Third, our study adds to the literature on VC syndication (Brander et al., 2002; Lerner, 1994; Tian, 2012) by shedding lights on the post-investment consequences of cross-border syndicates, showing that VC partnerships create values not only for entrepreneurial firms but also for the VC firms involved in the syndicates themselves.

Related Literature and Hypotheses Development

Literature on VC Internationalization and Reputation

The literature on VC internationalization provides evidence from different regions that syndication between domestic and foreign VC firms leads to superior performance of funded ventures. For instance, Asian firms jointly financed by both domestic and foreign VC firms have a higher likelihood of successful exits compared to those solely backed by domestic or foreign VC firms (Dai et al., 2012). Likewise, European ventures backed by mixed syndicates comprising both domestic and foreign VC firms grow more rapidly compared to those backed by domestic or foreign VC firms only (Devigne et al., 2013). Moreover, U.S. firms with foreign VC backing command a premium in the IPO market (Chahine et al., 2019). These studies collectively demonstrate that cross-border syndicated VC investments are associated with a higher likelihood of successful exits compared to syndicates comprising only domestic VC firms (Chemmanur et al., 2016; Cumming et al., 2016) or only foreign VC firms (Nahata et al., 2014).

The abovementioned evidence is in line with the idea that mixed syndicates of domestic and foreign VC firms allow both parties to access complementary knowledge (De Clercq & Dimov, 2008; Grant & Baden-Fuller, 2004) and obtain synergies for an investment deal. On the one hand, from the perspective of a foreign VC firm, access to a domestic VC firm's knowledge of the local context can mitigate a foreign VC firm's liability of foreignness that arises from geographical, institutional, and cultural distances from their portfolio companies (Dai et al., 2012; Chemmanur et al., 2016; Liu & Maula, 2016; Nahata et al., 2014). On the other hand, for domestic VC firms, syndicating with foreign VC firms may offer advantages, such as increased access to capital, access to knowledge and expertise in international deals, and additional exit opportunities (Bertoni & Groh, 2014; Chemmanur et al., 2016; Cumming et al., 2016).

Although these studies have focused on the international aspect of co-investors, they have paid less attention to the quality of those foreign investors. That is, studies have generally overlooked the possibility that the enhanced performance associated with international syndicates might be due to foreign investors being more capable in general, rather

than merely because they are foreign. A VC firm's reputation is built on a proven track record of success, which is often demonstrated through successful exits of portfolio companies via IPOs or M&As (Megginson & Weiss, 1991; Nahata, 2008). Reputable VC firms are typically more adept at providing non-financial resources, such as professionalizing new ventures (Hellmann & Puri, 2002), introducing collaborative partners (Hsu, 2006), endorsing potential business partners (Hsu, 2004), and assisting with exits (Nahata, 2008). These resources can enhance the performance of new ventures and increase their value. Thus, in addition to taking account the country origin of co-investing partners, the inherent reputation of those co-investors should also be considered in examining the performance consequence of international syndication experience.

Certification and Learning Effects of International Syndication Experience with Reputable Foreign VC Firms

We examine conditions under which syndicating with foreign VC firms can improve domestic VC firms' subsequent investment performance. We suggest that the enduring benefits of accumulating international syndication experience depend on the levels of reputation of the syndicating domestic and foreign VC firms, rather than simply on their country of origin. That is, for domestic VC firms to fully take advantage of international syndication, their co-investment experience should involve VC firms from a foreign origin *and* of high reputation. Two potential mechanisms through which the high reputation of foreign VC firms can lead to enduring performance improvement for domestic VC firms: *certification* effects and *learning* effects.

We suggest that associations with reputable foreign VC firms can create a certification effect that enhances subsequent investment outcomes of domestic VC firms. This effect arises because domestic VC firms that have established association with reputable foreign VC firms are well positioned to attract high-quality investment targets and co-investment opportunities in their domestic financial market. When information asymmetry is high, entrepreneurial firms and potential co-investors closely scrutinize the quality of their business partners. One strong signal that domestic VC firms can send to their prospective investment targets and co-investors is the quality and type of co-investors that they have collaborated with in the past (Zhang & Guler, 2020).² As a result, domestic VC firms with prior investment experience with reputable foreign VC firms would be advantageous in securing investment deals in high-quality entrepreneurial firms and with more reputable (foreign and domestic) VC firms. Indeed, entrepreneurs seeking financial capital are particularly sensitive to the identity of VC investors, often willing to accept financing offers from high-quality VC firms even at the cost of equity stakes, to benefit from the affiliation (Hsu 2004). Likewise, the identity of prior co-investors plays a crucial role in seeking investment opportunities with high-quality VC firms in the financial market (Hochberg et al., 2007). This certification effect may manifest regardless of whether domestic VC firms have actually learned best practices from their past co-investments with reputable foreign VC firms.

Hypothesis 1a. Domestic VC firms with higher levels of syndication experience with reputable foreign VC firms will invest in higher quality new ventures for subsequent investment deals (as compared with domestic VC firms with lower levels of syndication experience with reputable foreign VC firms).

Hypothesis 1b. Domestic VC firms with higher levels of syndication experience with reputable foreign VC firms are more likely to co-invest with high-quality VC firms for

subsequent investment deals (as compared with domestic VC firms with lower levels of syndication experience with reputable foreign VC firms).

In addition to the certification effect, learning effects can be crucial in enhancing a domestic VC firm's ability to nurture its subsequent investment targets. We propose that domestic VC firms have greater opportunities to acquire valuable knowledge and learn from foreign VC firms when the collaborating foreign VC firms have a higher reputation compared with the focal domestic VC firms. Reputable VC firms typically possess superior skills and know-how in selecting and nurturing new ventures (Hsu, 2004), which is reflected in their track record of successful investment outcomes, such as IPO exits (Nahata, 2008), increased efficiency of investee entrepreneurial firms (Chemmanur et al., 2011), and strong long-term post-IPO firm performance (Krishnan et al., 2011). This positive association between reputation and investment outcomes can be attributed to two factors: the ability of reputable VC firms to select high-quality entrepreneurial firms and their superior value-adding capabilities (Sørensen, 2007). Specifically, highly reputable foreign VC firms initially select higher-quality firms that are drawn to their reputation, and then provide more effective advisory and monitoring services to increase values of entrepreneurial firms. By accumulating syndication experience with highly reputable foreign VC firms, domestic VC firms are exposed to better investment practices, both in the selection of promising new ventures (e.g., deal origination and project screening) and in post-investment value-adding activities (e.g., coaching, resource acquisition, monitoring, and exit decisions).

Accumulating international syndication experience with highly reputable foreign VC firms can thus provide *enduring* benefits (i.e., beyond the immediate advantages of any single cross-border deal) for domestic VC firms due to organizational learning (Levitt & March, 1988) through the acquisition of knowledge (Easterby-Smith et al., 2008) from the foreign VC collaborating partner. In the broader context of international collaboration, inter-organizational learning (c.f., Nooteboom, 2003) occurs in various forms of partnerships, such as joint ventures (Inkpen & Dinur, 1998) and strategic alliances (Inkpen, 1998; Simonin, 2004). Similar to other forms of inter-firm collaboration, syndication of VC investments involves substantial commitments and frequent interactions among collaborating VC firms (Wright & Lockett, 2003), fostering an environment where knowledge exchange can flourish. Indeed, cross-pollination of different practices from foreign co-investors, who come from different institutional environments, could produce valuable new knowledge for domestic VC firms. Through these repeated interactions, domestic VC firms have the opportunity to learn from their foreign VC syndicating partners, embed the acquired knowledge and capabilities in their organizational memory, and apply them to future investments in their local market. As a result, by accumulating international syndication experience, domestic VC firms can leverage the knowledge gained to improve subsequent investment deals, even when foreign VC firms are not involved. For instance, domestic VC firms can learn to conduct more effective due diligence, engage more strategically with venture management teams, and better structure deals.

Further, certification and learning effects arise when co-investing VC firms are both foreign *and* reputable. Simply being foreign is not sufficient for the certification or learning effects to take place, because the advantages of foreignness are often accompanied by significant challenges. For instance, although foreign VC firms, particularly those from more advanced countries, may be perceived by domestic VC firms as more legitimate in the eyes of potential business partners, they may also need to overcome the "liability of foreignness" when co-investing in a foreign country (Mäkelä & Maula, 2005; Mata & Freitas, 2012).

Likewise, knowledge transferred from a foreign firm may not always translate well into the practice in the domestic market due to different institutional and business environments. Thus, foreignness alone will not automatically lead to certification and learning effects. Similarly, although association with a more reputable domestic VC firm may be a source for certification and learning, these effects are limited to resources and expertise within the local market. By contrast, foreign co-investors bring unique cross-border resources, such as global networks and diverse market insights, that domestic firms lack. Moreover, the reputation of the foreign VC amplifies these advantages, as reputation becomes even more important in cross-border investments (Alvarez-Garrido & Guler, 2018). Thus, the combination of foreignness and reputation is essential to realize the certification and learning effects to alleviate inherent limitation of each factor.

In sum, international syndication experience with highly reputable foreign VC firms certifies a domestic VC firm to entrepreneurial firms and peer VC firms, enhancing the domestic VC firm's access to higher-quality investment opportunities in future deals. Furthermore, this experience offers significant learning opportunities for domestic VC firms. Consequently, both certification and organizational learning contribute to a positive effect of international syndication experience with highly reputable foreign VC firms on the subsequent investment performance of domestic VC firms.

Hypothesis 2. *Domestic VC firms with higher levels of syndication experience with reputable foreign VC firms are more likely to achieve successful exits in subsequent investments in their domestic market (as compared with domestic VC firms with lower levels of syndication experience with reputable foreign VC firms).*

International Network Expansion and Foreign Exit

International syndication experience with highly reputable foreign VC firms can also provide with new and alternative international exit routes for domestic VC firms in their subsequent investments. While existing studies have examined whether syndication between domestic and foreign VC firms is positively related to additional international exit opportunities in a given investment deal (e.g., Bertoni & Groh, 2014; Humphery-Jenner & Suchard, 2013; Hursti & Maula, 2007), research also shows that prior syndication experience with foreign VC firms enhances the likelihood of achieving a foreign exit (Jääskeläinen & Maula, 2014). Building on this evidence, we propose that the beneficial effects of syndicating with foreign VC firms are not only enduring but also shaped by the reputation of the foreign VC partner.

International exits are more difficult to achieve compared with domestic ones due to the liability of foreignness (Mäkelä & Maula, 2005; Mata & Freitas, 2012). By accumulating international experience with reputable foreign VC firms, domestic VC firms could leverage these relationships to acquire the knowledge and resources to overcome the liability of foreignness that characterizes the international listing process or the search for a potential foreign acquirer for their portfolio firms. Syndication networks facilitate the sharing of information, contacts, and resources among VC firms (Bygrave, 1988; Gu & Lu, 2011). Through prior ties with reputable foreign VC firms, domestic VC firms could tap into their foreign partners' institutional knowledge about foreign markets, and their connections with investment banks that could facilitate the international listing process or attract foreign acquirers interested in an M&A deal. Therefore, domestic VC firms with substantial international syndication experience with highly reputable foreign VC firms have a higher

likelihood of exiting their investments through international listings or by attracting foreign acquirers in an M&A deal.

Hypothesis 3. *Given a successful exit outcome, domestic VC firms with higher levels of international syndication experience with reputable foreign VC firms are more likely to achieve a foreign exit than a domestic exit in their subsequent investments.*

Description of the Data, Sample, and Variables

Data Sources

Our main data source is the VICO dataset, a data infrastructure developed in the context of the European Commission funded projects Research Infrastructure for Science and Innovation Policy Studies (RISIS) and RISIS2 (www.risis2.eu). VICO compiles data on VC investments in Europe, drawing from three main sources: Refinitiv Eikon, Zephyr, and Crunchbase. The dataset covers VC investments in 27 European Union countries, the UK and Israel from 1998 to 2018, tracking their exit status until year 2020. The data provide key characteristics of entrepreneurial firms, including industry, geographic location, and exit status. For each VC funding round, we can observe the participating VC firms and their geographic locations. VICO data have been used in several academic publications to investigate the determinants of VC investment activity and the impact of VC financing on the performance of new ventures (e.g., Bertoni & Tykvová, 2015; Colombo et al., 2019, 2023).

The European VC market provides an important and relevant avenue for our study. The fragmentation of this market into distinct national segments is widely recognized as a significant barrier to the supply of early-stage capital to innovative entrepreneurial firms (Asdrubali, 2023; Colombo et al., 2019). This led to a number of policy measures³ aimed at removing institutional barriers (e.g., double taxation) and at encouraging cross-border VC investment activity (European Investment Fund, 2018). Europe nowadays boasts a relatively developed VC industry, cross-border investments accounting for 62% of all VC investments in European entrepreneurial firms by total amount invested in 2018 (Dealroom.co, 2019). Furthermore, the European VC industry exhibits substantial heterogeneity in the level of VC firm reputation.

To track the investments made globally by domestic European VC firms and to quantify international syndication experience, we supplement the VICO dataset data, which are limited to investments in European companies, with data from Refinitiv Eikon on investments made by domestic VC firms *worldwide*, including those outside Europe.

To assess the economic and financial market conditions in a country, we use per capita GDP growth and unemployment rates extracted from Eurostat and the stock market capitalization volume from the World Bank.

Sample

Our analysis examines the investment patterns and outcomes of 1,636 domestic VC firms that led first-round investments in 6,601 entrepreneurial firms across 25 European countries between 2001 and 2014. Starting the sample in 2001 allows us to measure the syndication experience of these domestic VC firms with at least 3 years of data from the beginning of the VICO dataset's observation period (i.e., 1998). Ending the sample in 2014 provides a minimum of 6 years before the exit data extraction in 2020, ensuring sufficient time to track

successful exits. In 75% of the first-round investments in the VICO data, a single domestic VC firm is the sole investor. In these cases, we identify that VC firm as the lead investor, as suggested by Plagmann and Lutz (2019). When more than one VC firm participates in a round, following the literature (Ewens et al., 2022; Hong & Mella-Barral, 2024), we assume that the lead investor is the VC firm with the longest tenure since its first investment at the time of a funding round.

Depending on the objectives of the tests, we use the VC firm-year as the unit of analysis for H1a, the syndicated round for H1b, and the entrepreneurial firm for H2 and H3. To test the certification effect among entrepreneurial firms (H1a), we focus on evaluating the quality of entrepreneurial firms selected by domestic VC firms each year. Accordingly, we analyze a sample comprising 5,119 unique combinations of the 1,636 domestic VC firms and the investment years during which they led at least one first-round investment in their home country between 2001 and 2014. For the certification effect by peer VC firms (H1b), we examine the quality of a domestic VC firm's syndicating partners and we conduct our analysis at the syndicated round-level. Starting from the 10,718 first and follow-on investment rounds led by the 1,636 domestic VC firms between 2001 and 2014, we identify 3,160 syndicated rounds. To test H2, we focus on the 6,601 entrepreneurial firms that received first-round investments led by the 1,636 distinct domestic lead VC firms between 2001 and 2014. An entrepreneurial firm typically receives multiple funding rounds before an exit event. However, it is difficult to separate influences from different investors affiliated with different rounds, and including later rounds might complicate the analysis. Therefore, we consider only the first funding rounds and this sample selection method is consistent with the existing literature (e.g., Nahata, 2008; Sørensen, 2007).⁴ To test H3, we restrict the analysis to the entrepreneurial firms that received their first funding round from a domestic lead VC firm between 2001 and 2014 *and* subsequently had a successful exit through either an IPO or M&A. This sample includes 973 entrepreneurial firms.

Dependent Variables

To test H1a, we construct a proxy for entrepreneurial firm quality. VC firms rely on screening and staged financing to mitigate the agency problems in funding innovative ventures (Gompers, 1995). Specifically, VC firms continue funding only when they have confidence in a venture's future profitability (Megginson & Weiss, 1991). As a result, high-quality entrepreneurial firms are more likely to receive multiple funding rounds. Following Fu et al. (2019), we use the total number of investment rounds as an ex post proxy for the quality of entrepreneurial firms and rank these firms within each country-year accordingly. We then normalize these ranks by multiplying by $100/N$, where N denotes the total number of entrepreneurial firms receiving their first rounds in that country-year, creating the variable *Rank (Entrepreneurial Quality)*. For VC firms leading multiple first-round investments in a country-year, we use the average of the normalized ranks. When testing H1b, we use the dependent variable, *Syndicate with Reputable VC*, which equals one if at least one of the non-lead investors in the syndicated round is more reputable than the lead domestic VC firm, and zero otherwise.

To test H2, we adopt the dependent variable, *Successful Exit*, which equals one if an entrepreneurial firm went through an IPO or M&A exit and zero otherwise. This approach aligns with methodologies used in previous literature to assess VC investment success (Chemmanur et al., 2016; Hochberg et al., 2007; Nahata, 2008).

To test H3, we focus only on entrepreneurial firms that experienced a successful exit and use the dependent variable, *Foreign Exit*, that equals one if a focal entrepreneurial firm exits in a foreign country and zero if it exits in its domestic country.

International Syndication Experience with Foreign VC Firms

An internationally syndicated round involves at least two VC firms headquartered in different countries. To quantify international syndication experience, we start by considering all the VC funding rounds taking place *worldwide* that involved European VC firms from 1998 to 2014, with a particular focus on internationally syndicated rounds in which European VC firms invested. We then distinguish whether a VC firm gained international syndication experience from investing together with foreign VC firms that were more reputable than the focal VC firm. Following the literature (Nahata, 2008), we measure the reputation of a VC firm by counting the number of their prior successful exits in terms of IPOs or M&As worldwide since 1975. We count the number of prior syndicated rounds in which a focal VC firm co-invested with a foreign VC firm that had a higher reputation than that of the focal VC firm at the time of the investment. The variable *Log (Syndication Experience with Foreign VCs of High Reputation)* represents the logged value of such a count plus one. We also examine the international syndication experience gained in prior rounds, where *all* of the foreign participating VC firms have a lower reputation than the focal European VC firm. The *Log (Syndication Experience with Foreign VCs of Low Reputation)* is equal to the logged value of such a count plus one. The syndication experience with foreign VC firms accumulated by a focal VC firm is counted from 1998 until the time of the focal investment. The impact of international syndication experience may diminish over time, with more recent experience likely having a stronger influence. To account for the depreciation of international syndication experience, we also consider experience gained within the 3-year period leading up to a focal event.

Control Variables

We control for various factors, including the characteristics of VC firms, entrepreneurial firms, investment rounds, and the macroeconomic and financial market conditions.

VC Firm Characteristics. Following Nahata (2008), we measure VC firm reputation by the number of prior successful exits (IPO or M&A). Lead Domestic VC Reputation captures the total exits achieved by a domestic lead VC firm from 1975 to the investment date.⁵ We also compute a normalized reputation rank, *Rank (Lead Domestic VC Reputation)*, by ranking all domestic lead VC firms within a given country-year and scaling the rank by multiplying it by $100/L$, where L denotes the total number of such firms. This measure yields a value between 0 and 100.

Our analyses focus on lead domestic VC firms, even though non-lead foreign VC firms can participate in an investment round. Accordingly, we quantify the reputation of non-lead foreign VC firms (*Foreign VC Reputation*). Further, we measure a VC firm's prior syndication experience with domestic VC firms with more- and less-reputable domestic VC firms, *Syndication Experience with Domestic VCs of High Reputation* and *Syndication Experience with Domestic VCs of Low Reputation*, respectively. We construct three binary variables—*CVC*, *BVC*, and *GVC*—indicating whether a VC firm is a corporate VC, a bank-based VC or a governmental VC firm, respectively. The base category consists of

independent VC firms. Additionally, we build the variable *Distance* to measure the distance in kilometers between an entrepreneurial firm and the focal VC firm.

Entrepreneurial Firm Characteristics. We measure the age of each entrepreneurial firm (*Company Age*). For entrepreneurial firms that eventually achieve a successful exit, we consider their age at the time of exit (*Company Age at Exit*). Country and industry fixed effects are included, with industries classified into 18 NACE Rev.2 sections (see Supplemental Appendix Table A2). We also count the total number of foreign and domestic VC firms that invested in the entrepreneurial firm throughout all rounds of investments (i.e., *No. of Domestic VCs* and *No. of Foreign VCs*, respectively), as well as the total number of rounds raised by the focal entrepreneurial firm before the exit (*Total Rounds Raised*). Additionally, we count the number of days from the last investment round to the successful exit (*Time since Last Round to Exit*).

Round-Level Controls. We build the following round-level controls. First, we count the number of investing VC firms in a funding round (*Number of VCs*). Furthermore, we build a binary variable, *Foreign VC*, that equals one if foreign VC firms are present in an investment round and zero otherwise. Additionally, in the analysis conducted at the syndicated round-level which includes both initial and follow-on rounds, we include a variable that counts the number of years from the last investment round to the focal round (*Years since Last Round*).

Macroeconomic and Financial Market Conditions. To control for the macroeconomic and financial market conditions in the residing countries of European VC firms, we consider the annual per capita GDP growth (*GDP Per Capita Growth*), unemployment rates (*Unemployment Rate*), and stock market capitalization volumes as a percentage of GDP (*Stock Market Volume*). Moreover, to measure the activity level of the VC market in a country, we construct the variable, *Number of Deals*, which counts the total number of funding rounds raised in a given country-year. Table 1 shows the summary statistics of all variables and the correlation matrix.⁶

Empirical Analysis and Results

Certification Effects of International Syndication Experience

We provide empirical evidence concerning the certification effects (as described in H1a and H1b) through which international syndication experience with reputable foreign VC firms yields enduring benefits for domestic VC firms.

Quality of Entrepreneurial Firms Financed by Domestic VC Firms. To test H1a, we examine whether the international syndication experience of domestic VC firms is related to the quality of entrepreneurial projects that they fund. For each domestic VC firm, we consider their international syndication experience measured at the start of a focal year. Among controls, we include the normalized rank of a domestic VC firm's reputation in each country-year (*Rank [Lead Domestic VC Reputation]*), the type of focal VC firm (i.e., *CVC*, *BVC*, or *GVC*), as well as country fixed effects and investment year fixed effects.

Table I. Description of the Variables.

Variable	Mean	p50	Max	Min	SD	Count
A. Summary statistics						
(1) Successful exit	.23	.00	1.00	.00	.42	6,601
(2) Log (syndication experience with foreign VCs of high reputation, cumulative)	1.02	.69	4.71	.00	1.15	6,601
(3) Log (syndication experience with foreign VCs of low reputation, cumulative)	.60	.00	5.78	.00	1.05	6,601
(4) Log (syndication experience with domestic VCs of high reputation, cumulative)	1.39	1.39	4.76	.00	1.27	6,601
(5) Log (syndication experience with domestic VCs of low reputation, cumulative)	1.12	.00	5.43	.00	1.43	6,601
(6) Log (lead domestic VC reputation)	.96	.69	5.19	.00	1.09	6,601
(7) Log (foreign VC reputation)	.01	.00	3.19	.00	.10	6,601
(8) Company age	3.90	2.00	25.00	.00	4.30	6,601
(9) Number of VCs	1.38	1.00	12.00	1.00	.81	6,601
(10) GDP per capita growth	.97	1.37	11.44	-7.27	2.15	6,601
(11) Unemployment rate	8.08	7.80	26.10	2.10	3.65	6,601
(12) Stock market volume	1264.42	742.00	3538.00	9.00	1006.76	6,601
(13) Log (no. of deals, country-year)	5.52	5.78	6.52	.69	.92	6,601
(14) CVC	.05	.00	1.00	.00	.22	6,601
(15) BVC	.07	.00	1.00	.00	.26	6,601
(16) GVC	.18	.00	1.00	.00	.39	6,601
(17) Foreign VC	.04	.00	1.00	.00	.19	6,601
(18) Log (distance)	3.59	3.94	7.70	.00	2.03	6,601
(19) Log (syndication experience with foreign VCs of high reputation, 3 years)	.65	.00	3.95	.00	.87	6,601
(20) Log (syndication experience with foreign VCs of low reputation, 3 years)	.46	.00	5.08	.00	.85	6,601

(continued)

Table I. (continued)

Variable	Mean	p50	Max	Min	SD	Count
(21) Log (syndication experience with domestic VCs of high reputation, 3 years)	.91	.69	4.03	.00	.97	6,601
(22) Log (syndication experience with domestic VCs of low reputation, 3 years)	.88	.00	4.76	.00	1.17	6,601
(23) Rank (entrepreneurial quality)	21.77	3.12	100.00	.43	30.67	5,119
(24) Rank (lead domestic VC reputation)	35.55	12.50	100.00	.90	36.64	5,119
(25) Syndicate with reputable VC	.27	.00	1.00	.00	.45	3,160
(26) Log (years since last round)	.37	.00	2.40	.00	.54	3,160
(27) Foreign exit	.41	.00	1.00	.00	.49	973
(28) Log (no. of domestic VCs)	.95	.69	2.48	.69	.35	973
(29) Log (no. of foreign VCs)	.15	.00	2.20	.00	.38	973
(30) Company age at exit	8.43	8.00	27.00	.00	4.92	973
(31) Log (total rounds raised)	.93	.69	2.56	.69	.36	973
(32) Log (time since last round to exit)	6.80	7.08	8.64	.00	1.35	973
(33) GDP per capita growth (exit year)	1.05	.95	24.76	-5.87	2.05	973
(34) Unemployment rate (exit year)	8.36	7.80	26.10	2.80	4.18	973
(35) Stock market volume (exit year)	1245.48	670.00	3623.00	15.00	1012.73	973

(continued)

Table 1. (continued)

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)	(17)
B. Correlation matrix																	
(1)	1.00																
(2)	.10***	1.00															
(3)	.07***	.75***	1.00														
(4)	.02	.69***	.60***	1.00													
(5)	.03***	.71***	.84***	.70***	1.00												
(6)	.08***	.70***	.83***	.65***	.89***	1.00											
(7)	.03**	.08***	.10***	-.01	.06***	.08***	1.00										
(8)	.02**	.00	.00	.06***	.03***	.10***	-.02*	1.00									
(9)	.02*	.19***	.14***	.16***	.17***	.12***	.18***	-.06***	1.00								
(10)	.05***	.00	.02	-.04***	-.02**	-.01	.01	-.02	-.04***	1.00							
(11)	-.04***	-.07***	-.13***	-.10***	-.09***	-.12***	-.03***	.01	.03**	-.24***	1.00						
(12)	.04***	-.06***	.03**	-.03**	-.01	.03**	-.00	-.03***	-.03**	-.07***	.11***	1.00					
(13)	.04***	.14***	.20***	.34***	.23***	.25***	-.00	.02	.04***	.06***	-.27***	.43***	1.00				
(14)	.04***	.02	.00	-.12***	-.03**	-.04***	.00	-.04***	.06***	.02	-.00	-.01	.01	1.00			
(15)	-.01	-.02	-.06***	-.01	-.06***	-.04***	-.01	.14***	.01	-.01	.05***	.03**	-.01	-.05***	1.00		
(16)	-.06***	.08***	.05***	.21***	.18***	.01	-.01	-.04***	.11***	-.02*	.04***	-.15***	-.10***	-.10***	-.12***	1.00	
(17)	.02*	.16***	.13***	.08***	.10***	.09***	.27***	-.05***	.40***	.01	-.02	.01	.01	-.00	.01	.02	1.00
(18)	.00	.08***	.08***	.16***	.15***	.13***	.02	.10***	.03**	.02	-.02	.00	.09***	.02**	.03**	.07***	-.00

Standard errors in parentheses * $p < .1$. ** $p < .05$. *** $p < .01$.

Table 2. Certification Effects of International Syndication Experience: Higher Quality of Entrepreneurial Firms Financed by Domestic VC Firms.

	(1)	(2)
Time window for international syndication experience	Cumulative experience	Past 3-year experience
Dependent variable	Rank (entrepreneurial quality)	Rank (entrepreneurial quality)
Log (syndication experience with foreign VCs of high reputation)	5.532*** (.714)	9.518*** (.490)
Log (syndication experience with foreign VCs of low reputation)	-.454 (.592)	-0.0404 (.675)
Rank (lead domestic VC reputation)	.00849 (.0170)	0.0166 (.0146)
CVC	-3.996** (1.941)	-4.085** (1.928)
BVC	-7.964*** (1.547)	-7.500*** (1.454)
GVC	-3.979** (1.586)	-3.578** (1.673)
Country fixed effect	Yes	Yes
Investment year fixed effect	Yes	Yes
Adj. R^2	.107	.129
Observations	5,119	5,119

Standard errors in parentheses * $p < .1$, ** $p < .05$, *** $p < .01$.

Table 2 presents the results from ordinary least squares (OLS) estimation showing that international syndication experience with reputable foreign VC firms is positively and significantly associated the quality of entrepreneurial firms financed by a focal domestic VC firm. This is true for the different time windows considered for the measurement of VC firms' international syndication experience (i.e., cumulative since 1998 and in the past 3 years). This finding supports the certification effect posited in H1a. Furthermore, compared to independent VC firms, CVC, GVC, or BVC firms are associated with entrepreneurial firms of lower quality.

Likelihood of Syndicating with Reputable VC Firms. To test H1b, we examine whether the international syndication experience of domestic VC firms increases the likelihood of attracting reputable VC firms. The main variables of interest are the measures of the international syndication experience of a lead domestic VC firm prior to a focal round. We estimate a Probit model, controlling for entrepreneurial firm's age (*Company Age*), reputation of the lead domestic VC firm (*Lead Domestic VC Reputation*), the type of the lead VC firm (i.e., CVC, BVC, or GVC), VC market conditions in a given country-year (*Number of Deals*), and *Years since Last Round*. We also include fixed effects for investment year, country, the NACE Rev.2 industry, and round sequence. Standard errors are clustered at the country-level.

Table 3 reports the average marginal effects from the Probit estimation (Columns 1 and 4). Across both sets of international syndication experience measures, we find that higher international syndication experience with reputable foreign VC firms is positively

and significantly associated with the likelihood of attracting a reputable VC firm to the syndicate subsequently led by a focal European VC firm. This result aligns with H1b.

Because the dependent variable, *Syndicate with Reputable VC*, is only observable when a lead VC firm chooses to assemble a syndicate, the Probit estimation results may suffer from sample selection bias. To address this, we use a HeckProbit model (Semykina & Wooldridge, 2018; Wooldridge, 2010), jointly estimating syndicate formation and our main outcome (*Syndicate with Reputable VC*). In the selection equation, the dependent variable, *Syndication*, equals one if a focal round consists of more than one VC firm and zero otherwise. For the exclusion restriction, we follow Tian (2012) and include a regressor, *Industry Concentration*, which measures the industry concentration of prior investments made by a focal lead VC firm. Specifically, we build Herfindahl–Hirschman index to measure the dispersion of prior investments made by the lead VC firm across different industry groups. Therefore, *Industry Concentration* ranges between zero and one, with higher values indicating a greater industry concentration of a VC firm's prior investments. VC firms with more concentrated portfolios are more likely to syndicate to diversify (Brander et al., 2002; Lerner, 1994; Manigart et al., 2006; Tian, 2012). The selection equation also includes the same controls as the main outcome equation.

Table 3 (Columns 2 and 5) reports the estimation results after correcting for the selection of syndication. We continue to find a positive and statistically significant effect of international syndication experience with reputable foreign VC firms on the likelihood of having a reputable VC syndicate partner. Columns 3 and 6 present the selection equation results, showing that industry concentration is positively associated with the likelihood of syndication, as predicted.

Effects of International Syndication Experience on Successful Exits

Baseline Results. To test H2, we perform a Probit estimation using the binary variable *Successful Exit* as the dependent variable. Key independent variables include the lead VC's international syndication experience, and a set of controls measured at the first funding round. At the VC firm-level, we control for reputation level (*Lead Domestic VC Reputation*), prior syndication experience with domestic VC firms (i.e., *Syndication Experience with Domestic VCs of High Reputation* and *Syndication Experience with Domestic VCs of Low Reputation*), the type of VC firm (i.e., *CVC*, *BVC*, or *GVC*), and geographic distance to the entrepreneurial firm (*Distance*). Round-level controls include the number of VC firms (*Number of VCs*), the presence of foreign VC firms in the round (*Foreign VC*), and their reputation (*Foreign VC Reputation*). At the entrepreneurial firm-level, we include *Company Age*. To account for the macroeconomic conditions, we include *GDP Per Capita Growth*, *Unemployment Rate*, and *Stock Market Volume*, and *Number of Deals*. Finally, we include investment year, NACE Rev.2 industry, and country fixed effects. Standard errors are clustered at the country-level.

Panel A of Table 4 reports average marginal effects over the sample from Probit estimation (Columns 1, 4, 6, and 9). Consistent with H2, greater international syndication experience with reputable foreign VC firms significantly increases the likelihood of a successful exit in subsequent domestic investments. This positive effect continues to hold even after controlling for prior syndication experience with reputable domestic VC firms (Columns 4 and 9). By contrast, prior syndication with reputable domestic VC firms shows no significant impact on exit performance (Columns 3 and 8), underscoring the unique value of

Table 3. Certification Effects of International Syndication Experience: Higher Likelihoods of Syndicating with Reputable VC Firms.

Dependent variable	Time window for international syndication experience			Cumulative experience			Past 3-year experience		
	Syndicate with reputable VC			Syndicate			Syndicate with reputable VC		
	(1)			(2)			(3)		
	Probit	HeckProbit	Selection Equation	Probit	HeckProbit	Selection Equation	Probit	HeckProbit	Selection Equation
Log (syndication experience with foreign VCs of high reputation)	.0539*** (.0151)	.0486*** (.0136)	.203*** (.0495)	.0539*** (.0151)	.0486*** (.0136)	.203*** (.0495)	.0595*** (.0158)	.0546*** (.0151)	.146*** (.0197)
Log (syndication experience with foreign VCs of low reputation)	-.0106 (.0274)	-.00927 (.0240)	.0146 (.0550)	-.0106 (.0274)	-.00927 (.0240)	.0146 (.0550)	-.0556** (.0219)	-.0494*** (.0117)	.0676** (.0263)
Company age	.00616*** (.00193)	.00542*** (.00176)	-.0365*** (.00525)	.00616*** (.00193)	.00542*** (.00176)	-.0365*** (.00525)	.00582** (.00266)	.00495*** (.00162)	-.0360*** (.00368)
Log (lead domestic VC reputation)	-.119*** (.0354)	-.106*** (.0317)	.0107 (.0233)	-.119*** (.0354)	-.106*** (.0317)	.0107 (.0233)	-.0712*** (.0166)	-.0632*** (.0161)	.0718*** (.0202)
CVC	-.0267 (.0446)	-.0204 (.0416)	.908*** (.109)	-.0267 (.0446)	-.0204 (.0416)	.908*** (.109)	-.0252 (.0294)	-.0120 (.0397)	.909*** (.0488)
BVC	.0256 (.0339)	.0259 (.0300)	.832*** (.0535)	.0256 (.0339)	.0259 (.0300)	.832*** (.0535)	.0251 (.0264)	.0331 (.0302)	.866*** (.0464)
GVC	.166*** (.0324)	.151*** (.0278)	.972*** (.0960)	.166*** (.0324)	.151*** (.0278)	.972*** (.0960)	.176*** (.0210)	.167*** (.0335)	.978*** (.0347)
Log (no. of deals, country-year)	.0991** (.0399)	.0883** (.0347)	-.181* (.0947)	.0991** (.0399)	.0883** (.0347)	-.181* (.0947)	.0930** (.0435)	.0819** (.0401)	-.231*** (.0626)
Log (years since last round)	-.0589*** (.0132)	-.0518*** (.0111)	.335*** (.0675)	-.0589*** (.0132)	-.0518*** (.0111)	.335*** (.0675)	-.0556** (.0222)	-.0490*** (.0110)	.134*** (.0448)
Industry concentration			.120* (.0647)			.120* (.0647)			.124*** (.0606)

(continued)

Table 3. (continued)

Time window for international syndication experience		Cumulative experience				Past 3-year experience			
Dependent variable		Syndicate with reputable VC		Syndicate		Syndicate with reputable VC		Syndicate	
		(1)	(2)	(3)	(4)	(5)	(6)		
		Probit	HeckProbit	Selection Equation	Probit	HeckProbit	Selection Equation		
Dummies of round sequence no.		Yes	Yes	Yes	Yes	Yes	Yes		
Country fixed effect		Yes	Yes	Yes	Yes	Yes	Yes		
Investment year fixed effect		Yes	Yes	Yes	Yes	Yes	Yes		
NACERev2 industry fixed effect		Yes	Yes	Yes	Yes	Yes	Yes		
Pseudo R^2 /Prob. $> \chi^2$		.131	.00		.131	.00			
Correlation of the residuals of the main and selection equations			-.113 (.195)			-.310 (.172)			
p-values for Wald test of independent equations			.565			.091			
Observations		3,160	3,160	10,718	3,160	3,160	10,718		

VC = venture capital.

Standard errors in parentheses * $p < .1$. ** $p < .05$. *** $p < .01$.

international syndication experience. Notably, prior syndication experience with low-reputation foreign VC firms is not significantly associated with exit outcomes.

Endogeneity of International Syndication Experience. International syndication experience of domestic VC firms is likely correlated with the unobservable qualities of entrepreneurial firms or the capability of VC firms. To address this endogeneity concern, we adopt an Instrumental Variable (IV) approach. We use three IVs that are plausibly related to international syndication but unlikely to directly affect the performance of entrepreneurial firms. The first IV, *Log (Flights)*, is the logarithm of the total number of both inbound and outbound direct international flights at an airport in the NUTS2⁷ region where the VC firm is located. We count flights in the same time window used for international syndication experience (either since 1998 or the past 3 years). The flight data come from the Air Transport Database provided by Eurostat. Improved international air connectivity lowers the cost of cross-border VC activity, facilitating both foreign VC firms' entry into local markets and outbound investments by domestic VC firms. Prior studies show that new air routes increase the involvement in local VC markets by VC firms located at a distance (Bernstein et al., 2016), and easier traffic options enable domestic firms to gain international syndication experience (Chemmanur et al., 2016). Meanwhile, airport connectivity is unlikely to directly influence the outcomes of entrepreneurial firms, given entrepreneurial firms are not necessarily located in the same NUTS 2 region as the investing domestic VC firms.⁸

Following Chemmanur et al. (2016), we also introduce two additional IVs: *Low Foreign Investment/Own Regulation*, capturing the extent of restriction on foreign ownership and investments in a country, and *Low Capital Controls*, reflecting the extent of capital controls in a country. Both are based on the Economic Freedom of the World (2018 edition), which rates countries from 1 to 10, with higher scores indicating fewer regulatory restrictions. For each year, we rank the home countries of all European VC firms based on their respective scores and assign a dummy equal to one if the country's rating is above the median and zero otherwise. Consistent with our syndication experience measures, we consider two-time windows prior to a focal round: (a) from 1998 to the year of the focal round, and (b) the prior 3 years. For each domestic VC firm, we sum up all the constructed dummies for the relevant time window and divide the sum by the total number of years in consideration. The resulting IVs inversely proxy for the regulatory restrictions facing foreign VC firms and capital controls in a given country.

We expect that international syndication activities are related to restrictions on foreign investments and capital control. Fewer restrictions reduce barriers for foreign VC firms to invest directly, lowering their need to partner with local VC firms. At the same time, a less restrictive regime facilitates outbound investments by domestic VC firms, increasing their opportunity to gain international syndication experience. This effect is expected to hold for syndication experience with both high- and low-reputation foreign VC firms.⁹

Using the three IVs, we reassess the effects of international syndication experience on the likelihood of a successful exit via IV Probit estimation (Wooldridge, 2010). Panel A of Table 4 reports the results (Columns 2, 5, 7, and 10), showing that all alternative measures of prior syndication experience with reputable foreign VC firms positively and significantly affect the likelihood of success of entrepreneurial firms funded by domestic VC firms. Panel B reports the results from first stage estimation. Consistent with our prediction, *Log (Flights)* is positively and significantly associated with international syndication experience. Moreover, low investment restriction and low capital control are negatively and

Table 4. Effects of International Syndication Experience on Successful Exits.

Dependent variable	Cumulative experience				Past 3-year experience					
	Successful exit									
	Probit	IVProbit	Probit	IVProbit	Probit	IVProbit	Probit	IVProbit	Probit	IVProbit
Panel A. Average marginal effects from Probit or IV Probit estimation										
Log (syndication experience with foreign VCs of high reputation)	.0298*** (.00811)	.231*** (.0309)		.0382*** (.00841)	.212*** (.0296)	.0390*** (.00718)	.213*** (.0350)	.0496*** (.00783)		.198*** (.0287)
Log (syndication experience with foreign VCs of low reputation)	-.0194 (.0126)	-.189** (.0739)		-.00324 (.0144)	-.138* (.0739)	-.0245 (.0205)	-.0924*** (.0351)	-.0468 (.0200)		-.0468 (.0393)
Log (syndication experience with domestic VCs of high reputation)			.00588 (.156)	-.0110* (.00597)	-.00808** (.00367)			-.0172** (.00824)		-.0150*** (.00570)
Log (syndication experience with domestic VCs of low reputation)			(-4.88)	-.0403*** (.0107)	-.0324*** (.0104)			-.0323*** (.0106)		-.0232*** (.0102)
Log (lead domestic VC reputation)	.0286*** (.00973)	.0107 (.0456)	.0777*** (1.127)	.0656*** (.00538)	.0267 (.0451)	.0347*** (.0113)	.00637 (.0191)	.0498*** (.00812)		.00812 (.0234)
Log (foreign VC reputation)	.0493 (.0737)	.0815** (.0414)	.0414 (.56)	.0327 (.0761)	.0640 (.0527)	.0419 (.0740)	.0212 (.0495)	.0269 (.0745)		.00948 (.0567)
Foreign investor	-.0144 (.0359)	-.0607 (.0422)	-.0103 (-.29)	-.0231 (.0386)	-.0642 (.0444)	-.0184 (.0323)	-.0917* (.0507)	-.0328 (.0346)		-.102** (.0492)
Company age	.00334*** (.000678)	.00252 (.00163)	.00274*** (3.98)	.00302*** (.000664)	.00273* (.00146)	.00352*** (.000658)	.00471*** (.000845)	.00286*** (4.27)		.00474*** (.000858)
Number of VCs	.0102 (.00859)	-.00686 (.00675)	.0162* (1.91)	.0140* (.00848)	-.00215 (.00763)	.0117 (.00844)	.00571 (.00887)	.0154** (1.98)		.00890 (.00888)
GDP per capita growth	-.00425 (.00337)	.000682 (.00150)	-.00491 (-1.32)	-.00433 (.00337)	-.000218 (.00164)	-.00298 (.00293)	.00375* (.00199)	-.00445 (-1.24)		.00295* (.00164)
Unemployment rate	.00179 (.00242)	-.00173 (.00180)	.00213 (.75)	.00184 (.00283)	-.000936 (.00213)	.00173 (.00236)	.0000195 (.00163)	.00224 (.79)		.000834 (.00166)
Stock market volume	-.000251 (.0000313)	.000260 (.0000316)	-.000355 (-1.27)	-.000282 (.0000293)	.0000177 (.0000320)	-.0000208 (.0000321)	.000319 (.0000346)	-.0000316 (-1.09)		.000263 (.0000519)
Log (no. of deals, country-year)	-.000554 (.0335)	-.0177 (.0247)	.00692 (.21)	.00748 (.0325)	-.0102 (.0256)	-.00535 (.0339)	-.0376 (.0333)	.00256 (.0334)		-.0288 (.0324)
CVC	.0589* (.0341)	.0300 (.0249)	.0701** (2.06)	.0537 (.0336)	.0290 (.0239)	.0600* (.0266)	.0375* (.0266)	.0655* (1.90)		.0295 (.0252)
BVC	-.0324 (.0238)	-.0543** (.0235)	-.0303 (-1.31)	-.0311 (.0381)	-.0509** (.0243)	-.0322 (.0243)	-.0427 (.0290)	-.0325 (-1.46)		-.0403 (.0278)
GVC	-.0663*** (.0176)	-.0548** (.0273)	-.0476*** (-2.75)	-.0381** (.0178)	-.0389 (.0249)	-.0632*** (.0176)	-.0541** (.0274)	-.0529*** (-2.98)		-.0430 (.0265)
Log (distance)	.00385*** (.000937)	-.00249 (.00348)	-.00353*** (-2.82)	-.00230** (.000911)	-.00144 (.00287)	-.00403*** (.000955)	-.00298 (.00307)	-.00352*** (-2.82)		-.00182 (.000905)
Investment year fixed effect	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Country fixed effect	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
NACERv2 industry fixed effect	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Pseudo R ² /Prob. > χ^2	.07	.00	.06	.07	.00	.07	.00	.06	.07	.00
Observations	6,601	6,601	6,601	6,601	6,601	6,601	6,601	6,601	6,601	6,601

(continued)

Table 4. (continued)

Time window for international syndication experience		Cumulative experience		Past 3-year experience	
Dependent variable		(1)	(2)	(3)	(4)
		Log (syndication experience with foreign VCs of high reputation)	Log (syndication experience with foreign VCs of low reputation)	Log (syndication experience with foreign VCs of high reputation)	Log (syndication experience with foreign VCs of low reputation)
Panel B. First stage estimation					
Log (flights)		.0362*** (.00305)	.0130*** (.00482)	.0359*** (.00388)	.0125*** (.00445)
Low capital controls		-.310*** (.0595)	-.112* (.0577)	-.232*** (.0920)	-.261*** (.0801)
Low foreign Inv./Own. regulation		-.191*** (.0463)	-.240*** (.0489)	-.256*** (.0613)	-.404*** (.0562)
Controls		Yes	Yes	Yes	Yes
Investment year fixed effect		Yes	Yes	Yes	Yes
Country fixed effect		Yes	Yes	Yes	Yes
NACERv2 industry fixed effect		Yes	Yes	Yes	Yes
F-statistics of excluded IVs		110.53	23.02	33.82	27.54
p-value for Amemiya–Lee–Newey minimum chi-square statistic		.62	.62	.53	.53
Observations		6,601	6,601	6,601	6,601

VC = venture capital.

Standard errors in parentheses * $p < .1$. ** $p < .05$. *** $p < .01$.

significantly related with international syndication experience, consistent with the findings of Chemmanur et al. (2016). All excluded instrument F -statistics exceed the Staiger and Stock (1997) threshold of 10.¹⁰ Furthermore, we test the overidentifying restrictions using the Amemiya–Lee–Newey minimum chi-square statistic (Amemiya, 1978; Lee, 1992; Newey, 1987)¹¹ and report the p -values in Panel B of Table 4. The null hypothesis of valid instruments is not rejected.

Robustness Tests. We perform additional tests to assess the robustness of our results. First, as explained in section “Sample,” for 25% of the first-round investments involving more than one VC firm, we identify the lead investor as the VC firm with the longest history of operation. To assess the robustness of this definition, we re-run our analysis using the average characteristics of all investing domestic VC firms in a funding round. As shown in Supplemental Appendix Table A3, the average of investing domestic VC firms’ prior experience with reputable foreign VC firms shows a positive and significant effect on the likelihoods of success of a focal venture. Second, we examine whether the reputation of non-lead domestic VC firms influences exit outcomes. Controlling for the lead VC firm’s reputation, we include the average reputation of all non-lead domestic VC firms and re-run the analyses with the same controls as in the baseline estimation. Results in Supplemental Appendix Table A4 show that the magnitude and significance of the effects of prior foreign syndication experience remain consistent with those reported in Table 4.

Furthermore, in light of the cross-country heterogeneity of achieving exit outcomes, we adopt an alternative measure of VC reputation. Specifically, we rank all the VC firms within each country by their cumulative number of successful exits from 1975 to the year of interest and assign them to four quartile groups. For each domestic VC at the time of a focal event, we count the number of prior syndicated rounds involving a foreign VC firm whose reputation quartile exceeds that of the domestic VC, *Syndication Experience with Higher-Quartile Foreign VCs*. We also require that the highest level of reputation (i.e., count of prior successful exits) in the origin country of the foreign co-investor must be higher than the reputation of the focal domestic VC firm. Similarly, we construct a measure of syndication experience with foreign VC firms whose quartile rankings are all lower than that of the domestic VC firm. We test H2 using these alternative measures. The results, reported in Supplemental Appendix Table A5, remain robust.

Effects of International Syndication Experience on the Selection of Exit Location

To test H3, we examine whether international syndication experience affects the likelihood of an entrepreneurial firm exiting in a foreign country, conditional on a successful exit. We focus on the entrepreneurial firms that received their first funding rounds from a domestic lead VC firm between 2001 and 2014 and eventually had a successful exit through either an IPO or M&A. The dependent variable is *Foreign Exit*. We evaluate whether international syndication experience of the lead VC firm in the first round influences exit location, based on the premise that first-round lead VC firms shape the firm’s long-term trajectory.¹²

Regarding controls, we include the age of entrepreneurial firms at the time of an exit (*Company Age at Exit*), the reputation level and the type of first-round lead domestic VC firm (i.e., *CVC*, *GVC*, or *BVC*), the number of domestic and foreign VC firms throughout all rounds (*No. of Domestic VCs* and *No. of Foreign VCs*, respectively), and the reputation of foreign participating investors in the first round (*Foreign VC Rep*). To control for the impact of staged financing, we include *Time since Last Round to Exit* and *Total Rounds*

Table 5. Effects of International Syndication Experience on the Selection of Exit Location.

Dependent variable	Cumulative experience		Foreign exit		Past 3-year experience	
	(1)		(2)		(3)	
	Probit	HeckProbit	HeckProbit	Probit	Probit	HeckProbit
Log (syndication experience with foreign VCs of high reputation)	.0289** (.0119)	.0277*** (.0104)	.0444*** (.0101)	.0433*** (.00967)		
Log (syndication experience with foreign VCs of low reputation)	.00731 (.0308)	.00856 (.0280)	-.0116 (.0270)	-.0115 (.0259)		
Log (lead domestic VC reputation)	-.0210 (.0238)	-.0223 (.0211)	-.00213 (.0203)	-.00280 (.0189)		
Log (foreign VC reputation)	.0439 (.155)	.0508 (.149)	.0392 (.151)	.0472 (.145)		
Log (no. of domestic VCs)	.0816 (.0642)	.0897 (.0640)	.0869 (.0618)	.0961 (.0625)		
Log (no. of foreign VCs)	.0778 (.0611)	.0788 (.0590)	.0757 (.0598)	.0769 (.0572)		
Company age at exit	.0000346 (.00221)	.00118 (.00331)	-.000177 (.00211)	.000986 (.00330)		
CVC	-.0794* (.0414)	-.0814** (.0413)	-.0785* (.0436)	-.0809* (.0444)		
BVC	.0241 (.0373)	.0251 (.0361)	.0207 (.0388)	.0221 (.0375)		
GVC	-.0826 (.0576)	-.0765 (.0542)	-.0801 (.0559)	-.0737 (.0529)		
Log (time since last round to exit)	.0580*** (.0108)	.0676*** (.00996)	.0581*** (.0115)	.0676*** (.0103)		
Log (total rounds raised)	.0363 (.0885)	.0535 (.0945)	.0211 (.0851)	.0377 (.0906)		
GDP per capita growth (exit year)	.0274*** (.00757)	.0268*** (.00755)	.0273*** (.00692)	.0267*** (.00706)		
Unemployment rate (exit year)	.00748	.00715	.00743	.00720		

(continued)

Table 5. (continued)

Dependent variable	Cumulative experience		Foreign exit	
	(1)	(2)	(3)	(4)
	Probit	HeckProbit	Probit	HeckProbit
Stock market volume (exit year)	(.00660) .0000850 (.0000784)	(.00733) .0000850 (.0000717)	(.00691) .0000992 (.0000770)	(.00754) .000101 (.0000705)
Country fixed effect	Yes	Yes	Yes	Yes
Exit year fixed effect	Yes	Yes	Yes	Yes
NACERev2 industry fixed effect	Yes	Yes	Yes	Yes
Pseudo R ² /Prob. > χ^2	.15	.00	.13	.00
Correlation of the residuals of the main and selection equations		.287 (.370)		.298 (.384)
p-values for Wald test of independent equations		.464		.467
Observations	973	973	973	973

VC = venture capital.
Standard errors in parentheses * $p < .1$. ** $p < .05$. *** $p < .01$.

Raised. We further include the macroeconomic variables in the home country in the year of the exit (i.e., *GDP Per Capita Growth [exit year]*, *Unemployment Rate [exit year]*, and *Stock Market Volume [exit year]*). Finally, we incorporate home country, exit year, and NACE Rev.2 industry fixed effects.

We perform a Probit estimation and report the average marginal effects in Table 5 (Columns 1 and 3), with standard errors clustered at the home country of a venture. All measures of international syndication experience with reputable foreign VC firms show positive and significant effects on the likelihood of a foreign exit. Among other controls, receiving funding from a corporate VC firm, as opposed to an independent VC firm, is associated with a lower likelihood of exiting abroad. In addition, the time elapsed since the last funding round as well as the GDP per capita in the exit year are both positively related to the likelihood of exiting in a foreign country.

The dependent variable, *Foreign Exit*, is only observable if an entrepreneurial firm experiences a successful exit. We address potential sample selection bias using a HeckProbit model. In the selection equation, we estimate the likelihood of a successful exit using a binary dependent variable, *Successful Exit*, using the same specification described in section “Baseline Results.”¹³

Columns 2 and 4 of Table 5 report the average marginal effects after controlling for potential sample selection bias. We continue to document a positive and significant effect of international syndication experience with reputable foreign VC firms on the likelihood of exiting in a foreign country.

As a robustness test, we examine whether prior syndication experience with reputable US VC firms increases the likelihood of a successful US exit for European entrepreneurial firms backed by domestic VC firms. Given the frequent collaborations between US and European VC firms and the United States being the primary target for international expansion (see Supplemental Appendix Table A1), we focus on US partnerships rather than all foreign syndication experience. Supplemental Appendix Table A6 shows that higher syndication experience with reputable US VC firms by a focal VC firm is associated with a higher likelihood of achieving a successful exit in the United States in subsequent investments in domestic entrepreneurial firms. These results are consistent with our theoretical predictions that prior ties with reputable international investors help domestic VC firms to acquire knowledge and resources to overcome the liability of foreignness that characterizes an exit abroad.

Discussion and Conclusion

Our findings demonstrate the enduring benefits for domestic VC firms that syndicate with highly reputable foreign VC firms. Using comprehensive data on VC investments in Europe, we show that domestic VC firms gain certification benefits by accumulating syndication experience with reputable foreign VC firms. This enables them to access new investment opportunities involving higher-quality investment targets and co-investors. Additionally, we find that a domestic VC firm’s syndication experience with reputable foreign VC firms significantly increases the likelihood of successful exits for entrepreneurial firms that are subsequently funded by the domestic VC firm. This result suggests both certification and organizational learning effects for domestic VC firms from collaborating with reputable foreign partners. Furthermore, syndication experience with reputable foreign VC firms enhances the likelihood that an entrepreneurial firm achieves a successful

exit in a foreign country rather than in its home country. The results are robust to controlling for endogeneity and sample selection.

Contributions

Our study contributes to the VC literature in the following ways. First, our article extends the literature on the internationalization of VC investments (Devigne et al., 2018). Although prior studies have analyzed the investment outcomes of mixed syndicates of domestic and foreign VC firms (e.g., Dai et al., 2012, Devigne et al., 2013, Chemmanur et al., 2016, Chahine et al., 2019), it has largely overlooked the potential enduring benefits for VC firms after syndicating with foreign VC firms. To our knowledge, only the recent work by Khurshed et al. (2020) uses the theoretical lens of organizational learning to study the effect of international syndication experience on the performance of domestic VC firms in Asia. Nevertheless, although Asia is often considered an emerging region in the VC industry, the European VC landscape is relatively more mature (Dai et al., 2012), raising questions about the generalizability of findings from Asia to Europe and other VC markets with different levels of development. In contrast to Khurshed et al. (2020), our results stress the importance of firm-level characteristics of VC firms—specifically their reputation—rather than country-level characteristics by showing that the beneficial effects of international syndication experience manifest only under certain conditions, namely when foreign VC firms are superior to domestic VC firms in terms of reputation. Accordingly, in addition to organizational learning, we suggest an additional mechanism that can contribute to the beneficial effect on domestic VC firms: quality certification. We provide empirical evidence in support of the presence of this additional mechanism.

Second, our study adds to the literature on VC syndication by shedding light on the post-investment consequences of cross-border syndicates. Prior research suggests that VC firms form syndicates to enhance project selection—benefiting from an additional VC firm's informed second opinion about the entrepreneurial firm (Lerner, 1994)—and to improve the ability to add value to the portfolio company through access to complementary resources and management skills (Brander et al., 2002; Tian, 2012). Our results suggest that the benefits of VC syndication extend beyond the immediate deal, persisting over time by enhancing the domestic VC firms' ability to select high-quality entrepreneurial firms and provide greater value-adding services in subsequent investments.

Third, our study provides new insights into the role of reputation in VC. The positive effect of VC reputation on the performance of entrepreneurial firms is well-established in the VC literature (e.g., Megginson & Weiss, 1991; Nahata, 2008). Our results suggest that the positive effects of association with reputable foreign VC firms extend not only to entrepreneurial firms but also to domestic VC that syndicate with them. Specifically, syndication experience with reputable foreign VC firms can increase the credibility of less reputable domestic VC firms through a quality certification effect.

Limitations and Future Research

As with all studies, ours has limitations that suggest potential avenues for future research. First, although our results support the view that domestic VC firms obtain enduring benefits from international syndication with reputable foreign VC firms due to quality certification and organizational learning, we are unable to directly assess the relative importance of these two mechanisms, even though we document the existence of certification effect

through the testing of H1a and H1b. Additional research that more explicitly examines the role of these mechanisms in improving the subsequent performance of domestic VC firms is therefore needed. Second, prior successful collaborations between domestic VC firms and their foreign VC syndication partners may have even greater beneficial effects compared to unsuccessful collaborations. The certification effect is likely stronger, and learning can be particularly effective in these successful collaborations. Nevertheless, due to the limited time span of our empirical setting, we are not able to take into account the outcome of the prior collaborations, which often materialize years after the investment. Further research that extends the temporal scope of the data to differentiate between syndication partnerships associated with successful exits and those that are not would be a fruitful direction for exploration. Third, although we evaluate the enduring effect of international syndication experience over different time frames using two alternative measures, we are not able to determine the precise rate at which these beneficial effects change over time. We therefore welcome further studies to explore the temporal dynamics associated with the mechanisms shown in this paper. Fourth, while our IV approach provides reassurance that the positive enduring effect of collaborating with reputable foreign VC firms is not merely driven by the ability of domestic VC firms to attract such partners, it remains valuable to further explore the determinants of these collaborations. Future research could investigate the factors influencing a VC firm's ability to secure high-quality foreign syndicate partners and the strategies that facilitate such partnerships, given it has received limited attention in the existing literature (Liu et al., 2024).

Implications for Practice

The implications of our analysis are important for both policymakers and practitioners in the VC industry. Our results are in line with the view that syndication with reputable foreign VC firms generates enduring beneficial effects that increase the capability of domestic VC firms to successfully manage their subsequent investments. Governments can therefore design policy measures aimed at opening up the domestic VC industry to collaborations with reputable foreign VC firms to stimulate the professionalization of domestic VC firms, which in turn, could foster the development of the domestic VC industry and strengthen the local entrepreneurial ecosystems. These considerations are particularly important in countries with developing VC markets (Devigne et al., 2018). Furthermore, the superior exit opportunities in foreign countries offered by domestic VC firms with high international syndication experience with reputable foreign VC firms can be particularly important to overcome capital constraints in less developed domestic markets (Hursti & Maula, 2007). However, one concern with the increased likelihood of international exits relative to domestic ones is the potential relocation of successful domestic entrepreneurial firms and entrepreneurs to foreign countries. Moreover, recent studies suggest receiving foreign VC investments can lead to knowledge spillovers in critical technologies, potentially eroding a country's technological advantage over time (Akçigit et al., 2024). To address these challenges, public policies aimed at promoting investments by internationally reputable VC firms in domestic markets should also incorporate measures to safeguard domestic technological leadership, prevent the migration of domestic entrepreneurs and preserve local entrepreneurial talent (Hellmann & Thiele, 2023).

Our results are also of interest to practitioners in the VC industry. VC firms should be aware that, although partnering with reputable foreign VC firms is costly, the benefits from these collaborations extend beyond those highlighted in previous literature (e.g.,

Chemmanur et al., 2016, Cumming et al., 2016). More importantly, these benefits persist even in the absence of foreign VC firms in subsequent investment deals. For domestic VC firms, lobbying policymakers to reduce the costs of attracting foreign VC firms should be seriously taken under consideration. In sum, understanding these implications could be valuable to entrepreneurs, VC investors, and policymakers working together to enhance entrepreneurial outcomes.

Declaration of Conflicting Interests

The author(s) declared no potential conflicts of interest with respect to the research, authorship, and/or publication of this article.

Funding

The author(s) disclosed receipt of the following financial support for the research, authorship, and/or publication of this article: Suting Hong acknowledges support from National Natural Science Foundation of China (Grant No. 72302148). Massimiliano Guerini acknowledges support of the RISIS project, funded by the European Union's Horizon 2020 Research and Innovation Program under grant number 824091.

ORCID iDs

Suting Hong  <https://orcid.org/0000-0001-6329-6265>

Massimiliano Guerini  <https://orcid.org/0000-0003-2812-0779>

Haemin Dennis Park  <https://orcid.org/0000-0002-8564-271X>

Supplemental Material

Supplemental material for this article is available online.

Notes

1. Although delineating these two mechanisms (i.e., certification and learning effects) is challenging, we demonstrate some existence of certification effect. In addition to showing learning effect (e.g., Khurshed et al., 2020), we find some existence of both effects leading to better performance of domestic VCs with co-investment experience with reputable foreign VC firms.
2. Although a recent research stream has investigated the role of status in the context of international VC investments (Alvarez-Garrido & Guler, 2018; Liu & Maula, 2021; Liu, Maula, & Pinkham, 2024), there is still limited research focusing on the reputation of foreign VC firms.
3. https://ec.europa.eu/growth/access-finance-smes/policy-areas/venture-capital_it.
4. As noted in the literature, to the extent that later-round investors influence entrepreneurial firms' performance, part of the lead investor's initial influence can be interpreted as the ability to attract better investors in later rounds (Cumming & Dai, 2013).
5. We are able to compile information of successful exits since 1975 from the Refinitiv Eikon data for investors that are also covered by VICO data, and thus, the exit count measure considers all the successful exits since 1975.
6. For controls that are used for testing different hypotheses, we report their descriptive statistics based on the sample of the largest size among all tests. To conserve space, Table 1 presents the correlation matrix for the analysis conducted to test H2.
7. Detailed descriptions of NUTS2 region divisions can be found at <https://ec.europa.eu/eurostat/web/nuts/background>. NUTS2. The current NUTS 2016 classification contains 281 NUTS2 regions, and regional policies are carried out at NUTS2-level.

8. In the data, approximately 54% of domestic VC firms are located in a different NUTS 2 region than the NUTS 2 region of funded entrepreneurial firms.
9. As the two relationships discussed above are of opposite directions, the directions of correlation between international syndication experience and the two IVs are ambiguous.
10. To our knowledge, there is no formal test available for weak identification in IV probit estimation. Therefore, we report F-statistics from a linear IV estimation in Stata, following existing literature (Khurshed et al., 2020).
11. We perform the test using the overbid routine in Stata that is *only available* for the two-step IV probit procedure as described in Newey (1987). Nevertheless, in Table 2 we report estimation results from the maximum likelihood estimation (MLE) that considers a joint distribution of the binary outcome (i.e., successful exit) and the endogenous variables. We select the MLE approach due to its advantages over two-step procedures, as documented in Wooldridge (2010; p. 591): first, MLE is more efficient than any two-step procedures; second, MLE generates a direct estimate of the coefficients for calculating marginal effects, whereas the two-step procedure can only identify parameters “up to scale.”
12. Among exited firms, 78% of first-round lead domestic VC firms continue investing in all subsequent rounds until exit, indicating that their persistent influence is often direct.
13. The results from estimating the selection equations are comparable to the probit results presented in Table 4.

References

- Akcigit, U., Ates, S. T., Lerner, J., Townsend, R. R., & Zhestkova, Y. (2024). Fencing off silicon valley: Cross-border venture capital and technology spillovers. *Journal of Monetary Economics*, 141, 14–39.
- Alvarez-Garrido, E., & Guler, I. (2018). Status in a strange land? Context-dependent value of status in cross-border venture capital. *Strategic Management Journal*, 39(7), 1887–1911.
- Amemiya, T. (1978). The estimation of a simultaneous equation generalized probit model. *Econometrica*, 46(5), 1193–1205.
- Asdrubali, P. (2023). *Patterns of cross-border venture capital flows in Europe* (No. 195). Directorate General Economic and Financial Affairs (DG ECFIN), European Commission.
- Balachandran, S., & Hernandez, E. (2021). Mi Casa Es Tu Casa: Immigrant entrepreneurs as pathways to foreign venture capital investments. *Strategic Management Journal*, 42(11), 2047–2083.
- Bertoni, F., & Groh, A. P. (2014). Cross-border investments and venture capital exits in Europe. *Corporate Governance: An International Review*, 22(2), 84–99.
- Bertoni, F., & Tykvová, T. (2015). Does governmental venture capital spur invention and innovation? Evidence from young European biotech companies. *Research Policy*, 44(4), 925–935.
- Bernstein, S., Giroud, X., & Townsend, R. R. (2016). The impact of venture capital monitoring. *The Journal of Finance*, 71(4), 1591–1622.
- Bradley, W. A., Duruflé, G., Hellmann, T. F., & Wilson, K. E. (2019). Cross-border venture capital investments: What is the role of public policy? *Journal of Risk and Financial Management*, 12(3), 112.
- Brander, J. A., Amit, R., & Antweiler, W. (2002). Venture-capital syndication: Improved venture selection vs. the value-added hypothesis. *Journal of Economics & Management Strategy*, 11(3), 423–452.
- Bygrave, W. D. (1988). The structure of the investment networks of venture capital firms. *Journal of Business Venturing*, 3(2), 137–157.
- Chahine, S., Saade, S., & Goergen, M. (2019). Foreign business activities, foreignness of the VC syndicate, and IPO value. *Entrepreneurship Theory and Practice*, 43(5), 947–973.
- Chemmanur, T. J., Krishnan, K., & Nandy, D. K. (2011). How does venture capital financing improve efficiency in private firms? A look beneath the surface. *The Review of Financial Studies*, 24(12), 4037–4090.

- Chemmanur, T. J., Hull, T. J., & Krishnan, K. (2016). Do local and international venture capitalists play well together? The complementarity of local and international venture capitalists. *Journal of Business Venturing*, 31(5), 573–594.
- Colombo, M. G., D'Adda, D., & Quas, A. (2019). The geography of venture capital and entrepreneurial ventures' demand for external equity. *Research Policy*, 48(5), 1150–1170.
- Colombo, M. G., Guerini, M., Hoisl, K., & Zeiner, N. M. (2023). The dark side of signals: Patents protecting radical inventions and venture capital investments. *Research Policy*, 52(5), Article 104741.
- Cumming, D., Fleming, G., & Schwenbacher, A. (2009). Corporate relocation in venture capital finance. *Entrepreneurship Theory and Practice*, 33(5), 1121–1155.
- Cumming, D., & Dai, N. (2013). Why do entrepreneurs switch lead venture capitalists? *Entrepreneurship Theory and Practice*, 37(5), 999–1017.
- Cumming, D., Knill, A., & Syvrud, K. (2016). Do international investors enhance private firm value? Evidence from venture capital. *Journal of International Business Studies*, 47(3), 347–373.
- Dai, N., Jo, H., & Kassicieh, S. (2012). Cross-border venture capital investments in Asia: Selection and exit performance. *Journal of Business Venturing*, 27(6), 666–684.
- Dealroom.co. (2019). Cross-border capital flows into European tech. Industry report. <https://blog.dealroom.co/record-cross-border-capital-flows-into-european-tech/>
- De Clercq, D., & Dimov, D. (2008). Internal knowledge development and external knowledge access in venture capital investment performance. *Journal of Management Studies*, 45(3), 585–612.
- Devigne, D., Vanacker, T., Manigart, S., & Paeleman, I. (2013). The role of domestic and cross-border venture capital investors in the growth of portfolio companies. *Small Business Economics*, 40(3), 553–573.
- Devigne, D., Manigart, S., Vanacker, T., & Mulier, K. (2018). Venture capital internationalization: Synthesis and future research directions. *Journal of Economic Surveys*, 32(5), 1414–1445.
- Easterby-Smith, M., Lyles, M. A., & Tsang, E. W. (2008). Inter-organizational knowledge transfer: Current themes and future prospects. *Journal of Management Studies*, 45(4), 677–690.
- European Investment Fund. (2018). *The European venture capital landscape: An EIF perspective* (EIF Working Paper 2016/34). https://www.eif.org/news_centre/publications/eif_working_paper_2021_70.pdf
- Ewens, M., Gorbenko, A., & Korteweg, A. (2022). Venture capital contracts. *Journal of Financial Economics*, 143(1), 131–158.
- Fu, H., Yang, J., & An, Y. (2019). Made for each other: Perfect matching in venture capital markets. *Journal of Banking & Finance*, 100, 346–358.
- Gompers, P. A. (1995). Optimal investment, monitoring, and the staging of venture capital. *Journal of Finance*, 50(5), 1461–1489.
- Grant, R. M., & Baden-Fuller, C. (2004). A knowledge accessing theory of strategic alliances. *Journal of Management Studies*, 41(1), 61–84.
- Gu, Q., & Lu, J. W. (2011). Effects of inward investment on outward investment: The venture capital industry worldwide 1985–2007. *Journal of International Business Studies*, 42, 263–284.
- Guler, I., & Guillen, M. F. (2010). Home country networks and foreign expansion: Evidence from the venture capital industry. *Academy of Management Journal*, 53(2), 390–410.
- Hellmann, T., & Puri, M. (2002). Venture capital and the professionalization of start-up firms: Empirical evidence. *The Journal of Finance*, 57(1), 169–197.
- Hellmann, T., Montag, A., & Tag, J. (2019). *Tolerating losses for growth: How US venture capitalists invest abroad* (Working paper 2019-05). Saiäd Business School.
- Hellmann, T., & Thiele, V. (2023). Scaling versus selling startups: The role of foreign acquirers in entrepreneurial ecosystems. *Journal of Political Economy Microeconomics*, 1(2), 348–399.
- Hochberg, Y. V., Ljungqvist, A., & Lu, Y. (2007). Whom you know matters: Venture capital networks and investment performance. *The Journal of Finance*, 62(1), 251–301.
- Hong, S., & Mella-Barral, P. (2024). Informational holdup by venture capital syndicates. *Journal of Financial and Quantitative Analysis*, 59(3), 1362–1400.

- Hsu, D. H. (2004). What do entrepreneurs pay for venture capital affiliation? *The Journal of Finance*, 59(4), 1805–1844.
- Hsu, D. H. (2006). Venture capitalists and cooperative start-up commercialization strategy. *Management Science*, 52(2), 204–219.
- Humphery-Jenner, M., & Suchard, J. A. (2013). Foreign venture capitalists and the internationalization of entrepreneurial companies: Evidence from China. *Journal of International Business Studies*, 44(6), 607–621.
- Hursti, J., & Maula, M. V. (2007). Acquiring financial resources from foreign equity capital markets: An examination of factors influencing foreign initial public offerings. *Journal of Business Venturing*, 22(6), 833–851.
- Inkpen, A., & Dinur, A. (1998). Knowledge management processes and international joint ventures. *Organization Science*, 9(4), 454–468.
- Inkpen, A. (1998). Learning, knowledge acquisition, and strategic alliances. *European Management Journal*, 16, 223–229.
- Jääskeläinen, M., & Maula, M. V. J. (2014). Do networks of financial intermediaries help reduce local bias? Evidence from cross-border venture capital exits. *Journal of Business Venturing*, 29(5), 704–721.
- Krishnan, C. N. V., Ivanov, V. I., Masulis, R. W., & Singh, A. K. (2011). Venture capital reputation, post-IPO performance, and corporate governance. *Journal of Financial and Quantitative Analysis*, 46(5), 1295–1333.
- Khurshed, A., Mohamed, A., Schwenbacher, A., & Wang, F. (2020). Do venture capital firms benefit from international syndicates? *Journal of International Business Studies*, 51, 986–1007.
- Lee, L. (1992). Amemiya's generalized least squares and tests of over identification in simultaneous equation models with qualitative or limited dependent variables. *Econometric Reviews*, 11(3), 319–328.
- Lerner, J. (1994). The syndication of venture capital investments. *Financial Management*, 23(3), 16–27.
- Levitt, B., & March, J. G. (1988). Organizational learning. *Annual Review of Sociology*, 14(1), 319–338.
- Li, Y., Vertinsky, I. B., & Li, J. (2014). National distances, international experience, and venture capital investment performance. *Journal of Business Venturing*, 29(4), 471–489.
- Liu, Y., & Maula, M. (2016). Local partnering in foreign ventures: Uncertainty, experiential learning, and syndication in cross-border venture capital investments. *Academy of Management Journal*, 59(4), 1407–1429.
- Liu, Y., & Maula, M. (2021). Contextual status effects: The performance effects of host-country network status and regulatory institutions in cross-border venture capital. *Research Policy*, 50(5), Article 104216.
- Liu, Y., Maula, M., & Pinkham, B. C. (2024). Status transfer across borders: The mediating role of common partners in first entry. *Journal of Management Studies*. Advance online publication. <https://doi.org/10.1111/joms.13176>
- Mäkelä, M. M., & Maula, M. V. (2005). Cross-border venture capital and new venture internationalization: An isomorphism perspective. *Venture Capital*, 7(3), 227–257.
- Manigart, S., Lockett, A., Meuleman, M., Wright, M., Landström, H., Bruining, H., Desbrières, P., & Hommel, U. (2006). Venture capitalists' decision to syndicate. *Entrepreneurship Theory and Practice*, 30(2), 131–153.
- Mata, J., & Freitas, E. (2012). Foreignness and exit over the life cycle of firms. *Journal of International Business Studies*, 32(7), 615–630.
- Meggison, W. L., & Weiss, K. A. (1991). Venture capitalist certification in initial public offerings. *The Journal of Finance*, 46(3), 879–903.
- Nahata, R. (2008). Venture capital reputation and investment performance. *Journal of Financial Economics*, 90(2), 127–151.

- Nahata, R., Hazarika, S., & Tandon, K. (2014). Success in global venture capital investing: Do institutional and cultural differences matter? *Journal of Financial and Quantitative Analysis*, 49(4), 1039–1070.
- Newey, W. K. (1987). Efficient estimation of limited dependent variable models with endogenous explanatory variables. *Journal of Econometrics*, 36, 231–250.
- Nooteboom, B. (2003). *Inter-firm collaboration, learning and networks: An integrated approach*. Routledge.
- Plagmann, C., & Lutz, E. (2019). Beggars or choosers? Lead venture capitalists and the impact of reputation on syndicate partner selection in international settings. *Journal of Banking & Finance*, 100, 359–378.
- Semykina, A., & Wooldridge, J. M. (2018). Binary response panel data models with sample selection and self-selection. *Journal of Applied Econometrics*, 33(2), 179–197.
- Shi, Y., Sorenson, O., & Waguespack, D. M. (2024). The new argonauts: The international migration of venture-backed companies. *Strategic Management Journal*, 45(8), 1485–1509.
- Simonin, B. (2004). An empirical investigation of the process of knowledge transfer in international strategic alliances. *Journal of International Business Studies*, 35(5), 407–427.
- Sørensen, M. (2007). How smart is smart money? A two-sided matching model of venture capital. *The Journal of Finance*, 62(6), 2725–2762.
- Staiger, D., & Stock, J. H. (1997). Instrumental variables regression with weak instruments. *Econometrica*, 65(3), 557–586.
- Tian, X. (2012). The role of venture capital syndication in value creation for entrepreneurial firms. *Review of Finance*, 16(1), 245–283.
- Weik, S., Achleitner, A. K., & Braun, R. (2024). Venture capital and the international relocation of startups. *Research Policy*, 53(7), Article 105031.
- Wooldridge, J. M. (2010). *Econometric analysis of cross section and panel data*. MIT Press.
- Wright, M., & Lockett, A. (2003). The structure and management of alliances: Syndication in the venture capital industry. *Journal of Management Studies*, 40(8), 2073–2102.
- Zhang, L., & Guler, I. (2020). How to join the club: Patterns of embeddedness and the addition of new members to interorganizational collaborations. *Administrative Science Quarterly*, 65(1), 112–150.

Author Biographies

Suting Hong is an Associate Professor at the School of Intelligent Finance and Business, Xi'an Jiaotong-Liverpool University. Her research focuses on entrepreneurial finance and technology entrepreneurship.

Massimiliano Guerini is an Associate Professor at Politecnico di Milano and Director of the Full-Time MBA at POLIMI Graduate School of Management. His research focuses on entrepreneurship, entrepreneurial finance, and university–industry linkages. He has participated in numerous research projects funded by the European Union, private companies, and public institutions.

Haemin Dennis Park is an Associate Professor at the Jindal School of Management at the University of Texas at Dallas. He received his PhD from the Foster School of Business at the University of Washington. His research examines how external resource acquisition strategy of technology-based ventures affect their development and performance.